NVIDIA NVDA

NasdaqGS · Technology · Semiconductors · USD · Price date 06.11.26

FAIR VALUE	PRICE	MARGIN OF SAFETY	ALPHA, ANNUAL	MARKET CAP	DIVIDEND YIELD
233.53	186.64	+25.1%	+28.2%	4,506.8bn	0.3%
DDM	USD, close 06.11.26	$V_0 / P_0 - 1$	IR 0.63	USD	DO USD 0.52

1 · INVESTMENT CASE

FAIR VALUE VS PRICE

The two-stage DDM gives USD 233.53, against a price of USD 186.64, 23% below the 52-week high. The market prices a slowdown in AI spending, yet Q2 revenue doubled to USD 96.2bn and the company guides USD 108bn for Q3, without China [1]. At 11.7x forward earnings, against 20.6x for peers, the leader trades below the group.

MARGIN OF SAFETY AND ALPHA

Margin of safety +25.1%, alpha +28.2% a year (IR 0.63), assuming the gap closes within one year.

CATALYST

Q3 FY2027 results and Q4 guidance · `17 Nov (company)`. Set by the company for 17 Nov, after the close [2]; the quarter ended on 25 Oct. A quarter at or above the USD 108bn guide, with Rubin in full production [1], would show that demand is not slowing and move the price towards fair value.

DECISION

Long candidate. We buy: the margin of +25% meets our 25% rule, and the comparables (USD 254.34) and analysts (USD 323.79) see more. A dated report can close the gap. Its high residual risk keeps the Treynor-Black weight small.

2 · VALUATION: DIVIDEND DISCOUNT MODEL

WHY THIS METHOD

NVIDIA returns cash mostly through buybacks: USD 39.0bn in the first half against USD 6.3bn of dividends [1]. So we discount dividends plus buybacks (cheat sheet p. 2). Two stages, because growth is far above what any company can keep forever: 50.0% for 7 years, then 3.0%.

METHODS THAT DO NOT FIT

Gordon alone gives USD 23.56: one rate cannot fit a company growing this fast. P/B (19.68x) says little, as its value is in chip designs and software, not on the balance sheet. Peers are smaller and differently built, so the comparables are only a double check.

DDM INPUTS

INPUT	VALUE	SOURCE OR REASON
P_0, price	USD 186.64	Close 06.11.26, not adjusted
D_0 used	USD 2.16	Dividends, 12 months + last FY buybacks per share
β	1.70	Bloomberg 60-month β
r_f, 10-year yield	4.84%	FRED DGS10, 05.11.26
ERP	4.46%	Damodaran, United States, 5 Jan 2026
$k = r_f + \beta$ ERP	12.42%	CAPM
g_1, first stage	50.0%	Ours: below Bloomberg's LTG of 72.04%, for a longer horizon
T, years	7	Years of above-trend AI demand; ours
g_2, terminal	3.0%	Long-run nominal growth of the economy; ours
Gordon value	USD 23.56	−87% vs price
Two-stage value	**USD 233.53**	**+25% vs price; 76% terminal value**

SENSITIVITY: TERMINAL GROWTH AND COST OF EQUITY

k \ g_2	2.0%	2.5%	3.0%	3.5%	4.0%
11.42%	245.76	257.20	270.01	284.43	300.79
11.92%	229.53	239.55	250.69	263.16	277.20
12.42%	214.95	223.77	**233.53**	244.37	256.51
12.92%	201.80	209.60	218.19	227.68	238.25
13.42%	189.88	196.81	204.41	212.77	222.02
Upside	+15%	+20%	+25%	+31%	+37%

Two-stage DDM value, USD. Shaded: at or above the price of 186.64. Dark: base case. Upside at the base k.

The DDM stays above the price in 25 of 25 cases. It falls to the price only if k rises by about 1.7 points (a β near 2.1) or g1 falls to about 45%: the value rests on the long growth phase, not on g2.

3 · COMPARABLE COMPANIES: A DOUBLE CHECK

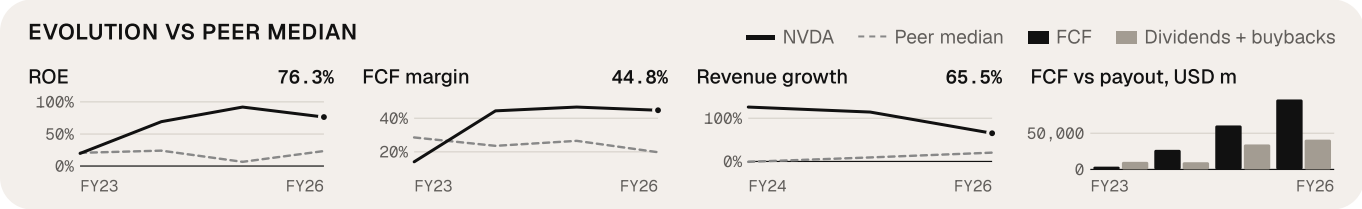
COMPANY	CAP, BN	FWD P/E	P/FCF	EV/EBITDA
AVGO Broadcom	1,402.0	15.1x	52.1x	27.5x
AMD Advanced Micro Devices	736.5	25.5x	n/m	65.5x
QCOM QUALCOMM	177.0	13.2x	20.5x	17.4x
MRVL Marvell Technology	127.0	19.2x	91.3x	43.9x
TXN Texas Instruments	253.6	24.0x	97.4x	24.2x
ADI Analog Devices	176.2	22.0x	41.2x	26.4x
Peer average		**19.8x**	**60.5x**	**34.2x**
Peer median		**20.6x**	**52.1x**	**27.0x**
NVDA NVIDIA	**4,506.8**	**11.7x**	**46.6x**	**22.2x**
Implied price at peer average		315.73	242.15	286.08
Implied price at peer median		328.34	208.55	226.14

Comps value USD 254.34 (+36%): average of the median implied prices in shaded columns. P/FCF on last FY's FCF. n/m: negative or above 100x.

4 · VALUE-TRAP CHECK

CHARACTERISTIC	METRIC	FY26	PEER MEDIAN	OWN PAST AVG.	VS PEERS	TREND
Profitability	ROE	**76.3%**	23.6%	60.3%	better	improving
Profitability	ROA	**58.1%**	12.7%	40.4%	better	improving
Profitability	FCF margin	**44.8%**	19.8%	35.0%	better	improving
Growth	Revenue growth	**65.5%**	20.4%	120.0%	better	worsening
Growth	Gross margin	**71.1%**	55.1%	68.2%	better	improving
Safety	Debt / equity	**0.07**	0.42	0.31	better	improving
Payout	Payout / FCF	**0.42**	1.15	1.23	better	improving

Earnings test: adjusted EPS 4.77 (FY26) → 9.31 → 15.91 (forward): rising. Trailing GAAP EPS of 7.91 is higher, from growth since FY26.



PASS **No red flags, earnings rising: pass.** No red flag: returns, margins and FCF beat the peers and keep improving, and debt is almost nil. Revenue growth slows from a very high base, still far above peers. Capital goes back to shareholders, with USD 99bn of buybacks still authorised [1]. **Not a value trap.**

5 · ALPHA

ASSUMPTION	FORMULA	α, annual	IR
Gap closes in 1 year	α closed = $(1 + k)(V_0 - P_0) / P_0$	+28.2%	0.63
Gap never closes	α never = $D_1 / P_0 + g - k$	−8.2%	−0.18
Used: closes in 1 year	**Goes into Treynor-Black**	**+28.2%**	**0.63**

The Q3 results of 17 Nov [2] fall inside the window, so we assume the gap closes within a year (α closed). The comparables give USD 254.34, so the DDM is the cautious value. IR 0.63, against 0.64 for Buffett.

6 · SPECIFIC ISSUES

MAIN RISK: AI SPENDING AND THE INPUTS

Revenue rests on the capex of a few cloud and AI customers: a cut would hit growth fast, and China is out of the guide [1]. g1 is per-share growth and the payout includes buybacks, so they count twice: the DDM is an upper bound on these inputs.

UPSIDE: SUSTAINABLE GROWTH AND MANAGEMENT

The quarterly dividend is now USD 0.25 [1], but D0 counts the last 12 months, so the DDM understates it. At β = 1 the DDM gives USD 387.95, and analysts' target is USD 323.79. Founder-CEO Jensen Huang has led it since 1993; no activist route at this size.

[1] NVIDIA, Q2 FY2027 results, 26 Aug 2026. [2] NVIDIA, Q3 FY2027 conference call, 28 Oct 2026. Market data: Yahoo Finance and FRED, downloaded 08.11.26.